

State Tax Nexus Analysis -- Multi-State Apportionment Review

Tax Years: 2021-2023 | States Under Audit: California, New York, Illinois, Texas | Status: In Progress

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1. Audit Overview

Four states have initiated concurrent audits of American Express Company's state income/franchise tax returns for tax years 2021-2023. The primary issues under examination are: (a) the apportionment methodology for financial services income, (b) economic nexus thresholds for marketplace facilitator activities, and (c) the treatment of intercompany transactions in the combined/unitary group.

Potential assessment exposure across all four states: \$67.3M (before penalties and interest).

2. California -- Apportionment Methodology

California's Franchise Tax Board (FTB) challenges AMEX's use of the single-sales-factor apportionment formula, asserting that certain card member fee income should be sourced to California based on the commercial domicile of the card member rather than the billing address.

AMEX position: Card member fee income is properly sourced using the market-based sourcing rules under Cal. Rev. & Tax. Code Section 25136, with the benefit received by the card member at their billing address. Estimated California adjustment: \$28.1M.

3. New York -- Combined Reporting

New York's Department of Taxation and Finance asserts that two AMEX subsidiaries not included in the combined group should be included based on unitary business principles. The subsidiaries operate digital payment processing services and were historically filed on a separate basis.

AMEX position: The subsidiaries do not share sufficient factors of profitability (functional integration, centralized management, economies of scale) to meet New York's unitary business standard. Estimated New York adjustment: \$19.7M.

4. Response Strategy

The state tax team has engaged external counsel (KPMG) for the California and New York matters. Administrative protests will be filed within 60 days of any proposed assessments. The appeals process timeline is estimated at 18-24 months per state.